DCEN Model

Democratic Cell Economic Network

A Simple Explanation in 7 Steps

- Global Wealth Blockchain
- Reversed Cantonal Taxation
- Citizens Sovereign Fund
- SSE - CCHI - Reconfigured Work
- P2P Education

Inspired by Piketty - Saez - Zucman - SSE - Swiss Federalism

Introduction

The DCEN model is a proposal for economic transformation that combines the academic work of Piketty, Saez and Zucman on inequality with concrete tools: a global wealth blockchain, reversed cantonal taxation, a citizens sovereign fund, the Social and Solidarity Economy (SSE), and P2P education. This document explains each building block simply - as if over a cup of coffee.

Layer	Element	Role
1 - Infrastructure	Global Blockchain	Makes all wealth visible
2 - Collection	Cantonal Taxation	Cantons collect the tax
3 - Distribution	40/35/25 Key	Automatic sharing
4 - Capitalisation	Sovereign Fund	Invests in the real economy
5 - Real Economy	SSE + CCHI	Cooperatives - health - inclusion
6 - Time	Reconfigured Work	4 days - unemployed - sick
7 - Knowledge	P2P Education	Epistemic cement of the model

1 The Starting Problem

Why this model exists

Imagine a leaking tap. For 50 years, the money of the very wealthy has been draining away into tax havens. Piketty, Saez and Zucman have measured exactly how much leaks, where, and since when. The DCEN is the plumber who comes to fix it.

Piketty's r > g	**Top 1% takes all**	**~$8 trillion offshore**

- Piketty shows that capital self-amplifies indefinitely if nothing is done (r > g).
- Saez proves that today's inequalities are a political choice, not an inevitability.
- Zucman maps hidden money - around 10% of world GDP is invisible to tax authorities.

---

2 The Global Blockchain - the Padlock

How we close the leaking taps

Imagine every banknote in the world had a GPS. You know exactly where it is, who owns it, in real time. That is the global wealth blockchain - tax havens become useless. Not banned, just ineffective.

Universal register	**Total transparency**	**Global state agreement**

- Every capital transfer is recorded in a register shared by all states.
- The Cayman Islands can still exist - but capital transferred there remains visible and taxable.
- Precedent: 2021 OECD agreement on the 15% minimum tax rate - 136 countries in just a few months.

---

3 Cantons Collect the Tax

Reversed taxation - the great Swiss innovation

Today: Bern collects, Bern redistributes. With the DCEN: your canton directly collects the progressive tax on large fortunes within its territory, then passes a share to the federal state. As if municipalities collected VAT before giving a portion to Bern.

Federal minimum tax rate | **Cantonal sovereignty** | **Upward competition**

- Each canton sets its own rate - but cannot go below the guaranteed federal floor.
- Cantons no longer compete to attract the wealthy with low rates - they compete to have the best SSE services.
- This is already partially Swiss reality - the DCEN amplifies and systematises it.

4 The 40 / 35 / 25 Sharing Key

Every franc collected is automatically shared

Your canton collects 100 francs in tax on a large fortune. Automatically and constitutionally: 40 stay in the canton for local projects, 35 go to the national sovereign fund, 25 go to equalisation to help poorer cantons. Like a fountain with three outlets.

40% - canton | **35% - sovereign fund** | **25% - equalisation**

- 40% to the canton: funds local SSE, targeted aid, communal P2P education.
- 35% to the sovereign fund: national capitalisation, cross-border DCEN investments.
- 25% to equalisation: Jura and Neuchatel receive more than they pay in - equity guaranteed.

5 The Sovereign Fund - the Common Pot

Collected money invests in the real economy

Imagine a giant citizens savings bank, but instead of speculating on the stock market, it finances cooperatives, care services, and housing. Governed democratically. Not by bankers - by elected citizen representatives. That is the DCEN sovereign fund.

Democratic governance | **No speculation** | **Funds SSE** | **Funds CCHI**

- The fund invests in cooperatives, mutual societies and SSE associations.
- It finances the CCHI - cooperative health insurance funds replacing the private part of the KVG.
- It can pay universal endowments - a starting capital for every citizen.

---

6 SSE, CCHI and Reconfigured Work

What changes in everyday life

You work 4 days a week in a cooperative of which you are a co-owner. You are covered by a cooperative health fund whose decisions you vote on. If you fall ill or lose your job, you can contribute to an SSE structure according to your abilities. You are no longer a cost - you are an actor.

4-day week | **SSE cooperatives** | **CCHI health** | **Inclusion of unemployed**

- The 4-day week frees up time for local governance and P2P learning.
- The unemployed and sick integrate SSE structures adapted to their abilities - they contribute.
- The CCHI reduces health costs for lower-income households through income-proportional contributions.

---

7 P2P Education - the Cement

Why everything holds together

A complex democratic model only works if citizens understand what they are governing. P2P education is Wikipedia applied to civic learning: everyone teaches what they know, learns what they do not. Knowledge circulates like money.

Learning by doing	Decentralised knowledge	Self-learning SSE

- SSE cooperatives train their members to understand accounting and governance.
- Municipalities organise assemblies where fiscal decisions are explained simply.
- Without P2P, the model would be managed by experts. With P2P, it is managed by citizens themselves.

In 30 Seconds

We put a GPS on all the world's wealth. Cantons tax it directly. The collected money is automatically split three ways: 40% for the canton, 35% for a common fund that finances cooperatives and healthcare, 25% for poorer cantons. The whole thing is governed locally by citizens who train each other. Result: super-wealth becomes visible, therefore morally indefensible, therefore naturally limited.

Main Advantages	Main Risks
Strong democratic legitimacy (cantons collect directly)	Difficult international coordination (global blockchain)
Self-sustaining virtuous cycle	Risk of sanctuary cantons without minimum tax floor
Active inclusion of the excluded (unemployed, sick)	Transition KVG to CCHI: minimum 10-15 years
Radical transparency (tax havens obsolete)	Tension centralisation / decentralisation

Academic sources: T. Piketty - Capital in the Twenty-First Century E. Saez - Income Inequality in the US G. Zucman - The Hidden Wealth of Nations